

## Mains Economy Pillar1B: Bank-NBFC Classification & Bad Loans

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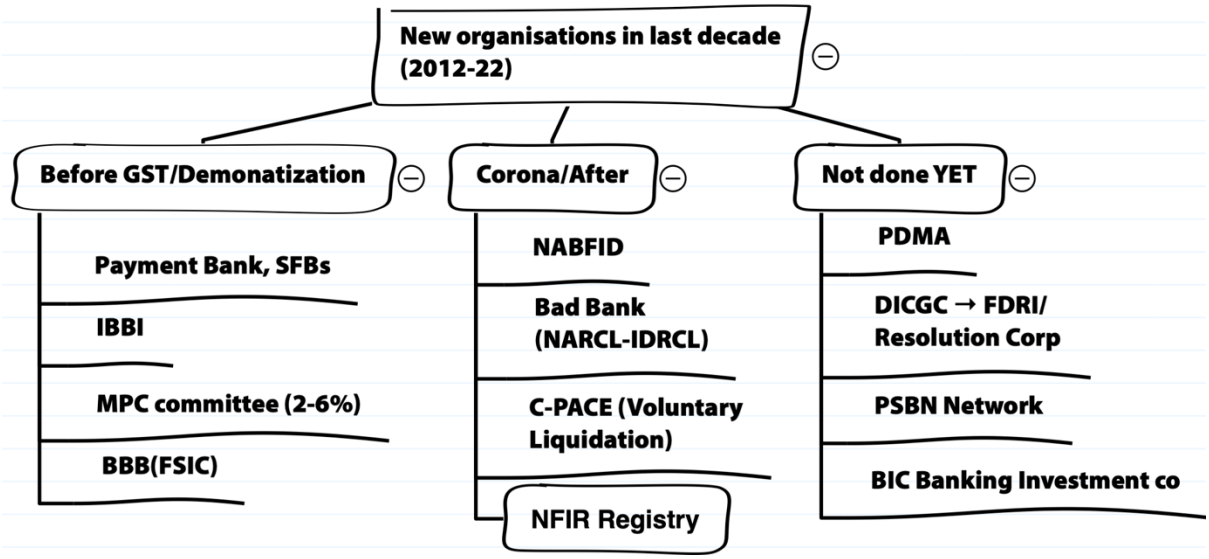
# 13 Financial Intermediaries- Origin, Classification

## 13.11 Importance of financial intermediaries- 🟥ES24 (वित्तीय मध्यस्थों का महत्व।)

- (Definition:) Financial Intermediation refers to the process by which financial institutions, such as banks and NBFCs collect money from savers and give them to those in need of loan/capital. (बचतकर्ता और उधारकर्ताओं/पूंजी-इच्छुक कंपनियों के बीच सेतु /पुल का कार्य वित्तीयमध्यस्थ करते है)
- Financial intermediation helps in the following ways 👇
- helps in efficient allocation of limited resources. (सीमित संसाधनों का कुशल आवंटन।)
- helps bringing foreign capital inflows (विदेशी पूंजी प्रवाह लाने में मदद करता है)
- helps in inclusive economic growth by providing funds to small firms and weaker sections. (लघु उद्योगो और कमजोर वर्गों को ऋण/कर्ज देके समावेशी आर्थिक विकास)
- NBFCs support the banking sector and fill the gap in capital required for the economy's growth. (एनबीएफसी बैंकिंग क्षेत्र के पूरक के रूप में काम करते हैं।)

- services provided by financial intermediaries are mobilising savings, extending credit, storing assets, growing them, managing risk, and facilitating transactions (लोगों को बचत के लिए प्रोत्साहित करना, ऋण, निवेश,जोखिम संभालना, वित्तीय लेन में मदद करना।)
- These services are essential for technological innovation and economic development. (प्रौद्योगिकी नवाचार और आर्थिक विकास के लिए यह सेवाएँ आवश्यक।)

Classification chart given in the prelims handout. Apart from that, noteworthy orgs are as follows:




## 13.12🐅 RBI as a Financial Regulator- an Evaluation

- (Origin) The Reserve Bank of India (RBI) was established under the RBI Act of 1934 with headquarters at Mumbai. It started Operations from 1, April, 1935.
- (Function) RBI is the regulator of banks, All India Financial Institutions (AIFI) such NABARD, SIDBI etc; selected categories of NBFCs (gold loan, microfinance etc.) and payment service providers (card gateway, foreign remittance, Mobile wallets etc).

### 13.12.1 🐅 DATA: Financial Frauds in India

- Note: You don't have to remember the data given in the NEXT table, except the last two columns. I have given the data use so you feel emotionally convinced that indeed RBI has done good work. Unless there is an emotional conviction, your words will not carry the strength.

Source: RBI annual report

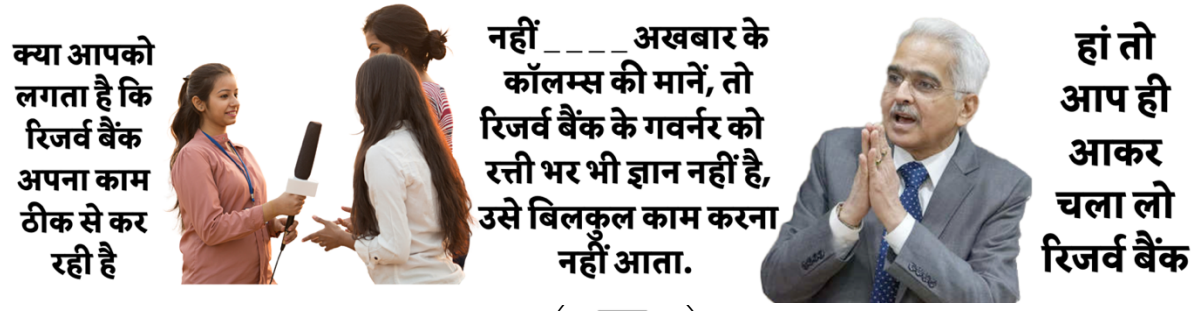
| Year | 2023 | 2025 | Comment |
|---|---|---|---|
| (A) Banking Frauds in ₹cr | 12,000 cr | 48,000cr | 4x increase in frauds |
| out of that Loan frauds | 82% | 84% (=40,000 cr) | majority scam in loan. |
| Out of them how much ₹₹ frauds in public sector banks? | 75% | 74% | PSBs inefficient. Majority frauds here |

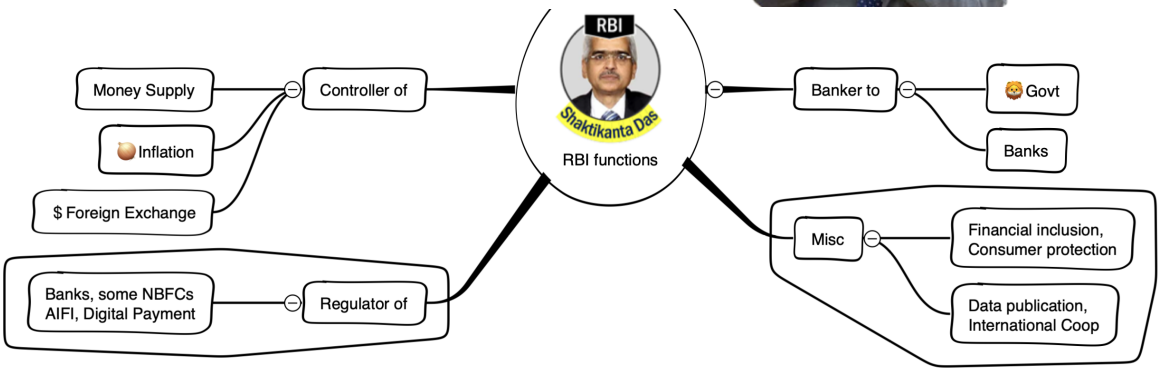
🤔Points to Reflect:

1. Total banking sector frauds significantly increased. RBI needs to do more stricter vigilance. (कुल बैंकिंग घोटालों में उत्तरोत्तर बढ़ोतरी. रिज़र्व बैंक ने ज़्यादा सख्ती से निगरानी की जरूरत।)
2. Majority of the frauds related to loans. (ज़्यादातर बैंकिंग घोटाले लोन देने में हो रहे है।)

3. Every year public sector banks account for the majority of the frauds - pointing to some type of political pressure/nexus, some type of nexus with the businessman (e.g. PNB Manager generating bogus Letter of Undertaking for Nirav Modi), not enough technology / specialised officers to combat Cybercrimes. (ज्यादातर घांधली सरकारी बैंकों में हो रही है जो कि वहां राजनीतिक दबाव बदमाश उद्योगपतियों के साथ सांठगांठ और साइबर क्राइम से लड़ने के लिए टेक्नोलॉजी/प्रौद्योगिकी की कमी और काबिल अफसरों की कमी को दर्शाता है)
4. The card/internet frauds- Public awareness against cybercrime is not keeping up with the speed of digitisation. (कार्ड/इंटरनेट मैं घोटालों मोटी मात्र में हो रहे है। अर्थतंत्र का डिजिटल-करण जिस तेज़ी से हो रहा है, उतनी तेज़ी से लोगों में जागृति, और बेंको की साइबर क्राइम से लड़ने की टेक्नोलॉजी में वृद्धि नहीं हो रही।)

### 13.12.2 🐅 RBI's performance: Positive & Negative (रिजर्व बैंक के प्रदर्शन का मूल्यांकन)




| RBI's Role | +ve | -ve/challenges |
|---|---|---|
| **Controller Of Money Supply and Inflation (मुद्रा आपूर्ति और मुद्रास्फीति नियंत्रक)** | ⇒ has managed to control the inflation in the statutory limit of 2–6% for majority of the years since 2016.<br>⇒ Conducting experiments on CBDC/Blockchain.<br>⇒ New tools / innovations like Op.Twist & SDF when traditional tools of monpol became less effective. | ⇒ struggling to control inflation below 6% after 2022, due to Corona supply-side issues, Russia Ukraine crisis etc since 2022, Iran war (2026)<br>⇒ Some accuse RBI of doing demonetisation (2016) in ill-planned/illegal manner but SC given it clean chit/ declared it not illegal. (2023). |
| **Controller of Foreign Exchange (विदेशी मुद्रा नियंत्रक)** | ⇒ has built adequate forex reserve to prevent any BoP crisis. ($600+ billion)<br>⇒ unlike Pakistan or Sri Lanka. | ⇒ China over 3 trillion forex reserve.<br>⇒ currency exchange became volatile in last two years. Dollar |

| RBI's Role | +ve | -ve/challenges |
|---|---|---|
| | we have not seen another balance of payment crisis after 1991. It proves that RBI doing its work professionally. | strengthened from ₹70(2020) ⟶ ₹86 (2025-Jun)<br>⇒ But mainly due to external factors like US Fed tapering and Ukraine war. So RBI cannot be faulted for mismanagement. |
| **Banker To Govt (सरकार का बेंकर)** | ⇒ managed to reduce the cost of borrowing for government through operation twist<br>⇒ 2025: RBI paid a record-breaking ₹2.70 lakh cr dividend to the govt for the financial year 2024-25. | ⇒ Demands for separate Public Debt management Authority to avoid conflict of interest in RBI's role as banking regulator. More in Handout_Pillar2. |
| **Banker's Bank (बैंकरो का बैंक)** | ⇒ Opened many new loan windows during Corona to help bankers e.g. TLTRO, SLTRO.<br>Provided new investment opportunity through SDF window. | ⇒ N/A. Because, for Indian bankers' deposits tend to be the major source of money supply.<br>⇒ So Bankers as such never complained for the lack of funds from RBI. |
| **Regulator of Banks (बैंकों का नियामक)** | ⇒ India has never witnessed complete failure of the banking system unlike in USA's (i) Silicon Valley bank crisis (2023) or (ii) sub-prime crisis (2007–08). So proves that RBI has done its work in a responsible manner.<br>⇒ RBI launched Utkarsh-2022 roadmap to improve its admin-process, Daksha-web system for online surveillance, Coop-banks pe RBI'4-tiered regulatory framework.<br>⇒ RBI managed to reduce the NPA of the banks to 2.8% of their loans, by 31/3/24. | ⇒ Failed to prevent NPA/Bad Loans, PMC Bank scam, PNB-Nirav Modi, ICICI Videocon, etc. mismanagement in RRB and Coop banks.<br>⇒ 2025-Mar:IndusInd Bank losses over Rs 2,000 crore due to scam/mismanagement in derivative trade.<br>⇒ some of the payment banks had to shut down/cancel license/facing problems = RBI allowed them without foresight.<br>⇒ 2026: PayTM Payment Bank KYC frauds (later license cancelled), HDFC AT1 Bond Mis-selling. |
| **Regulator of Some NBFCs (कुछ एनबीएफसी का** | ⇒ similar to above cell. | ⇒ DHFL Home loan scam, ILFS.<br>⇒ 2010's micro-finance crisis in Southern States. |

| RBI's Role | +ve | -ve/challenges |
|---|---|---|
| नियामक) | | ⇒ Heavy handed tactics by loan companies.<br>growth of illegal lending apps / crypto investment apps. |
| **AIFI (NABARD SIDBI Etc)** | ⇒ Opened new loan/refinance windows in Corona. RBI transfer PSL Shortfall money to them. | ⇒ If NABARD, NHB, etc., have not lived up to their highest potential, then the responsibility belongs more to the ownership/ leadership of the Govt. |
| **Financial Inclusion** (वित्तीय समावेशन) | ⇒ PSL norms, Initiatives with the help of NPCi (e.g. 123Pay on Basic phones),<br>⇒ Currency Notes-identification App for blind people,<br>⇒ Providing PSL-shortfall funding to MUDRA, NABARD etc. | ⇒ RBI Financial inclusion index score improved, but stil scope to improve access to banking/ loan/ digital payments to villagers/ remote areas. |
| **Consumer Protection** (उपभोक्ता संरक्षण) | ⇒ Has ombudsman for banks, NBFCs and digital payments.<br>⇒ Card Tokenization<br>⇒ Positive Pay mechanism against check frauds<br>⇒ RBI owns DICGC, which gives upto ₹5 lakh bank deposit insurance. | ⇒ Bank loan scams, Unauthorised loan apps, cyberfrauds, Bitcoin scams, malpractices of loan giving NBFC Companies, informal moneylenders… More needs to be done.<br>⇒ RBI has proposed the fin-tech companies to setup their self-regulatory organization (SRO). But looking at XP/performance of SRO in digital news-media, critiques remain apprehensive of SRO's capacity to deliver accountability. (स्व-नियंत्रक संस्थाओं से उम्मीद कम) |
| **International Cooperation** (अंतरराष्ट्रीय सहयोग) | ⇒ Has complied with agreements at BASEL/BIS, IMF, G20's Financial Stability Board etc. | ⇒ no negative news headline comes to mind. |

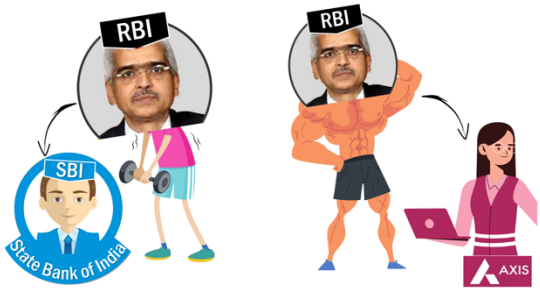
### 13.12.3 RBI power over the PSBs - some limitations

***राष्ट्रीय कृत बैंको के ऊपर रिज़र्व बैंक का संपूर्ण नियंत्रण नहीं है कुछ कानूनन बाधाओं के चलते ऐसी सरकारी बैंक के बोर्ड सदस्य मैनेजिंग डायरेक्टर आदि को हटाना रिज़र्व बैंक के अकेले से संभव नहीं है***

⇒ RBI bank regulates the banks using the power of the Banking Regulation Act, 1949. However, certain provisions of the BR Act not applicable on the nationalised banks.

⇒ This prevents RBI Governor from directly removing the MD / Board Members of PSBs, or force their mergers or cancelling PSB license.

⇒ After the PNB -Nirav Modi scam, the then RBI Governor Urjit Patel complained about this weakness/ legal loophole.




⇒ However, critics argue that it does not matter where formal power resides. Much depends on the moral authority / moral suasion power of the Governor. (गर्वनर में नैतिक शक्ति/मनोबल भी होना चाहिए।)

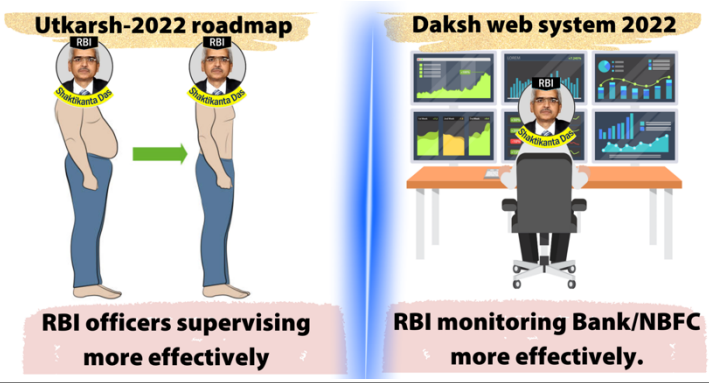
⇒ e.g. many years ago an RBI governor told the government that certain corrupt PSB MD should be removed, then government -as the owner of the PSB - removed that MD.

⇒ RBI governor can also write to the Central vigilance Commissioner (CVC) to initiate inquiry.

Having said that, some of the limitations also need to be fixed at the level of government such as -

| RBI's limitation | Solutions |
|---|---|
| **Bad Loan resolution** (अनर्जक परिसंपत्तियों का निवारण) | • legal amendments to enhance the powers of SARFAESI Act and IBC Code. (ऋण के साथ जुड़े कानूनों में सुधार की आवश्यकता है)<br>• A Public Credit Registry with legal backing for Aadhar -PAN link etc. while respecting right to privacy. (ऋण की सार्वजनिक रजिस्ट्री) |
| **PSB/ RRB/ Coop inefficiency / frauds** | It is also for the govt to amend the laws to fix certain grey areas in regulation, and ensure right people get appoint in the board. |
| **crypto currency scams** | Parliament needs to make a law (संसद ने एक क़ानून बनाना चाहिए) |

### 13.12.4 Need for more manpower and technology for supervision




| As of 2024 | RBI | PSBs |
|---|---|---|
| **No. of personnel** | 17,000+ | 7.60 lakh + |

⇒ RBI delivers more than ₹2 lakh cr dividend annually to the govt. So RBI does not have a shortage of money. RBI needs to invest more in technology upgradation, manpower recruitment and training- especially the Specialist officers, to address the above issues. (रिज़र्व बैंक के पास पैसों की कोई

क़िल्लत नहीं है। रिज़र्व बैंक ने उन रुपयों की मदद से प्रौद्योगिकी का आधुनिकीकरण, ज़्यादा अफ़सरों की नियुक्ति, अफसरो की तालीम पर ज़्यादा ख़र्च करना चाहिए।)

⇒ Some of the notable steps already done are given in above image, however, there is still scope for doing more. (हालाँकि कुछ क़दम उठाए गए हैं लेकिन अभी और सुधार के लिए अवकाश है।)

### 13.12.5 RBI@100 Roadmap / Vision released in 2024

(Origin) 2024- RBI entered its 90th year and has released RBI@100 roadmap outlining 14 aspirational goals. Notable among them are:

- ✔ RBI to become "a model central bank of Global South/developing nations" by (वैश्विक दक्षिण या विकासशील देशों के लिए एक मिसाल बनना)
  - ➢ (1) balancing between inflation and growth (महँगाई और आर्थिक वृद्धि के बीच संतुलन साधना)
  - ➢ (2) using artificial intelligence and machine machine learning (AI/ML)
  - ➢ (3) Develop a Global Financial Messaging Hub (perhaps as counter/safeguard against to SWIFT-messaging system where western-powers got Russia banned.) (कृत्रिम बुद्धिमत्ता और मशीन लर्निंग का इस्तेमाल करना। वैश्विक वित्तीय मैसेजिंग प्रणाली बनाना। )
- ✔ Globalisation of our financial sector via GIFT city. (Ref: Pillar#3)
- ✔ financial markets deepening and modernisation, esp. with help of cloud infrastructure & blockchain (भारतीय वित्तीय बाज़ार का वैश्वीकरण और आधुनीकीकरण करना।)
- ✔ Payment frauds prevention. Increase consumer awareness. ( डिजिटल पेमेंट में धोखा धड़ी को रोकना। ग्राहकों में जागृति फैलाना)
- ✔ Digital payment ko universalisation via (डिजिटल पेमेंट का वैश्वीकीकरण)
  - ➢ (1) CBDC / Central Bank Digital Currency (e-Rupee).
  - ➢ (2) internationalisation of UPI/RTGS/NEFT;
- ✔ Capital account liberalization esp. via making rupee available to non-residents for cross-border transactions. (Ref: Pillar#3) (पूँजी खाते का उदारीकरण)
- ✔ Loan availability expansion. Making a unified & comprehensive credit information/rating database. ( कर्ज/ऋण प्राप्ति में सुलभता।)
- ✔ Dealing with Climate Change related issues in financial sector. e.g. Wind turbine manufacturer Suzlon went bankrupt in USA (वित्तीय क्षेत्र में जलवायु परिवर्तन से जुड़े जोखिमों से निपटना)

*There are many more points in RBI@100 roadmap, but this much gyan more than enough to handle 150-250 words answer.*

### 13.12.6 RBI as regulator: conclusion / way forward

⇒ Thus, overall, RBI has been conducting its mandates in an efficient and professional manner.

⇒ However, there is scope for improvement, especially in the NPA, cyberfraud prevention, and financial inclusion.

⇒ Lastly, some of the lacunas of RBI also need to be fixed via legislative reforms, e.g., more clarity over the regulation of cooperative banks and PSBs and administrative reforms in PSBs.




## 13.13 RBI Governor Urjit's Resignation – a case study in Ethics




Isn't this topic outdated? Ans. Its points need to be understood for "GSM2-Regulatory Bodies Problems". (because earlier UPSC has asked why national commission for woman / Human rights commission not unable to pay effective role et cetera?)

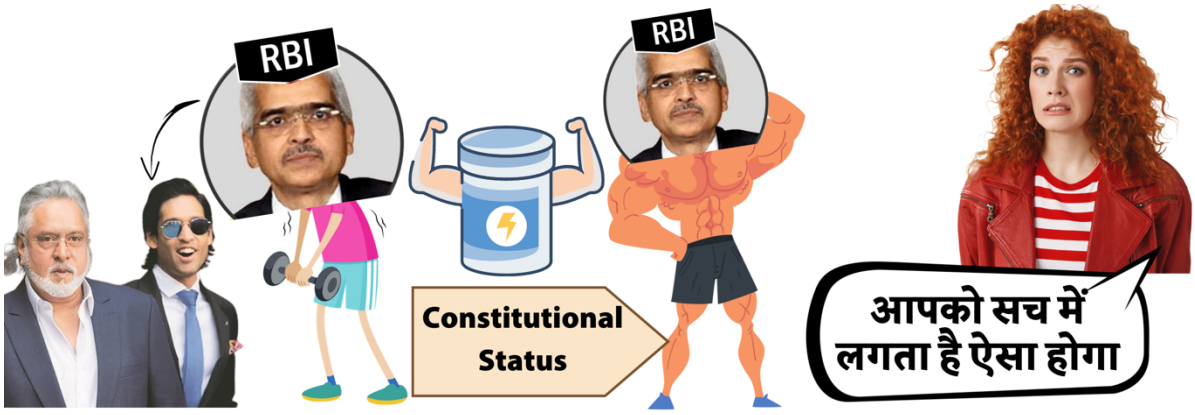
2018: RBI Governor Urjit Patel was unhappy with Govt interfering / criticizing his work. Such as:

- **Higher Dividend:** Govt. demanded higher dividend from RBI to finance the recapitalization of PSBs for BASEL-III, and to finance its own fiscal deficit & populist welfare programs. Urjit Patel felt RBI's higher reserves are necessary to check any financial crisis. Excessive dividend could increase inflation. He did not oblige. (सरकारी योजनाएं चलाने के लिए ज्यादा डिविडेंड /लाभांश की मांग)
- **BASEL-III-relaxation**: These norms will become fully effective on 31/3/2019 but PSBs don't have enough capital to comply so they requested Finance Minister to tell Urjit Patel to extend the deadline, Urjit Patel did not oblige. (बासेल मानदंडों की अंतिम तिथि में रियायत की मांग)
- **PCA-relaxation:** Urjit Patel vigorously implemented Prompt Corrective Action framework, so Public Sector Banks' branch expansion, lending operations were restricted, they came running to FM. FM asked Urjit to relax PCA. He did not oblige. (पीसीए नियमों में रियायत की मांग)
- **Tight Money Policy:** CEA Arvind Subramanian & BJP-Ministers were criticizing RBI's "Tight" Monetary Policy depriving MSMEs of cheap loans and thus harming India's growth rate. Whereas Urjit Patel deemed tight policy necessary to keep inflation @2-6%CPI (All India) on durable basis so he did not oblige. (महंगाई से लड़ने के लिए लोन और महंगे कीए ⟶ व्यापारी वर्ग नाराज)
- **PNB Scam:** Jaitley expressed displeasure that RBI couldn't detect PNB-Nirav Modi fraud, whereas Urjit Patel defended that he lacks effective powers under Banking Regulation Act to take punitive actions against Public Sector Banks. (पंजाब नेशनल बैंक - नीरव मोदी कांड को पकड़ने रोकने में असमर्थ रहे ऊर्जित पटेल)

All these forced Govt. to issue order to Urjit Patel to meet/discuss these matters under Section -7 RBI Act. Urjit resigned citing 'personal reasons'. But critiques argue that he resigned because of the humiliation over Section-7 Notice.

☯ Ethics Angle: by resigning from job a person can protect his personal dignity but not the dignity of the organisation because later, the minister can replace the officer with a "Yes man". (नौकरी से इस्तीफा देकर कोई व्यक्ति अपनी व्यक्तिगत गरिमा की रक्षा तो कर सकता है लेकिन संगठन की गरिमा की नहीं क्योंकि बाद में मंत्री उस अधिकारी के स्थान पर "यस मैन/जी-हजूर" किस्म के अफसर को रख अपने अनैतिक काम करवा सकता है.)

## 13.14🐅 CONSTITUTIONAL STATUS TO RBI? (क्या रिज़र्व बैंक को संवैधानिक दर्जा मिलना चाहिए?)




in GSM2–2020: UPSC asked can we improve the performance of national commission for woman by giving it constitutional status? So on similar logic. Let's prepare brainstorm for the points
Presently RBI is a statutory corporation setup under RBI Act 1934, with powers to regulate Banks, some NBFC, AIFI and digital payment system providers.

### 13.14.1 👍Arguments in favour of giving RBI constitutional status

वर्तमान स्थिति में रिजर्व बैंक के गवर्नर पर को हटाने/अपना मनमर्जी काम करवाने के लिए सरकार को कुछ सताए हैं संवैधानिक दर्जा मिलने पर गवर्नर अपना काम ज्यादा स्वतंत्रता से कर पाएगा.

⇒ Currently, the RBI central board has the power to remove the governor and the government has 100% ownership of the central board.
⇒ Section 7 of the RBI Act allows the government to instruct the RBI governor in public interest. However, sometimes the interests of the government do not align with the priorities of the governor, resulting in fallout such as the resignation of Urjit Patel in 2018.
⇒ Currently, the RBI does not have full control to regulate public sector banks or remove their MD (REF: the earlier section) (सार्वजनिक क्षेत्र के बैंकों के मैनेजिंग डायरेक्टर पर रिज़र्व बैंक की क़ानूनी-शक्तियां कम है)
⇒ RBI does not have full authority over certain types of cooperative banks, and Shadow-banks like ILFS. (कुछ ख़ास क़िस्म के सरकारी बैंक, प्रति छाया बैंक जैसे की आईएलएफ़एस आदि पर रिज़र्व बैंक की क़ानूनी-शक्तियां कम है।)
⇒ The constitutional status will empower the RBI governor to overcome the above challenges.

### 13.14.2 ✋🐅 Argument against giving RBI constitutional status (विपक्ष में तर्क)

*किसी बड़े देश में ऐसा करने का रिवाज नहीं. संवैधानिक दर्जा देने पर लचीलापन चला जाता है. कांड तो उसके बाद भी हो सकते हैं. संवैधानिक दर्जा ऐसी संस्था को दिया जाता है जो संविधान के बुनियादी ढांचे को कायम रखने के लिए जरूरी हो जैसे कि चुनाव आयोग वित्त आयोग आदि. रिजर्व बैंक का काम महत्वपूर्ण है लेकिन ऐसा भी नहीं जो बुनियादी ढांचे के लिए जरूरी हो. प्रतिभावान लोगों को गवर्नर बनाया गया है और उन्होंने पूर्ण निष्ठा से अपना काम किया है.*

⇒ ✋No precedence in any mature economy / democracy to grant constitutional status to the central bank. (किसी भी परिपक्व लोकतंत्र में ये रिवाज़ नहीं है कि केंद्रीय बैंक को संवैधानिक दर्जा दिया जाए।)

⇒ ✋Inflation control, GDP growth, exchange rate stability, financial scam control require dynamic / rapid changes required. But, after granting constitutional status = operational flexibility decreases. Because to change anything, constitutional amendment may be required.

⇒ RBI Act, FRBM Act enough provisions to prevent any grave mischief by Govt in public debt management. (सरकार मनमाने तौर पे कर्ज़ा न ले, इसके वास्ते क़ानून में पहले से प्रावधान है।)

⇒ Scams happened because of legal loopholes, tech loopholes, human mischief.

⇒ Constitutional status is merited / required when basic structure need to be protected e.g. Democratic election (ECI), Fiscal federalism (Finance commission, GST council), Executive's accountability to parliament (CAG), Fair opportunity in public employment through competitive exams (UPSC, StatePSCs).

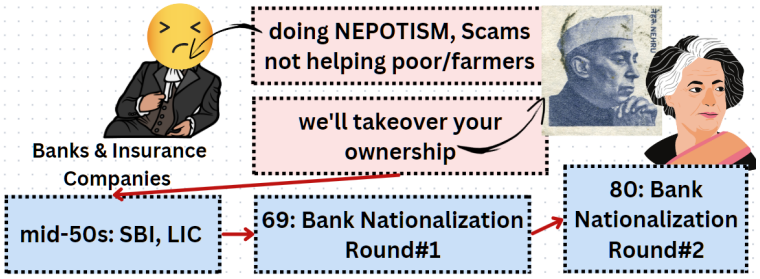
⇒ Whereas, the work is done by RBI is important, but not essential to protect the basic structure of the constitution. (रिज़र्व बैंक का काम महत्वपूर्ण है लेकिन संविधान के बुनियादी ढांचे का अभिन्न अंग नहीं है।)

⇒ So far, successive governments have appointed meritorious persons Dr.Manmohan Singh to Dr.Raghuram Rajan to present Shaktikanta Das. And each Governor has conducted himself with best of his integrity and professionalism. So there is no mischief / political patronage happening on the appointment-front, that needs to be corrected through constitutionalising of the body.

⇒ Yes, RBI has been facing challenges to control bad loans, crypto currencies, cooperative banking schemes etc. But they can be fixed easily through amending suitable laws, instead of giving constitutional status.

### 13.14.3 🐅 Conclusion : Constitutional status to RBI- Double Dholki nahi, take a stand

Thus, after evaluating the arguments in favour and against, there is no need for giving constitutional status to the RBI. (इस मुद्दे के पक्ष और विपक्ष में तर्क को का मूल्यांकन करने के बाद रिजर्व बैंक को संवैधानिक दर्जा देने की कोई आवश्यकता/ज़रूरत नहीं है)




## 13.15 👨‍💼💰 Sarkaari Banks - a performance review

⇒ (Origin) At the time of Independence, majority of the banks were owned by industrialist, princes and foreigners. There was a deep nexus between the industrialists and bankers.

⇒ By 1960s- only 188 elite people controlled the economy by sitting in the board of top 20 banks and top 1400 companies. Bankers recklessly loaned to directors and their kin. Bankers catered the rich and influential. Helping the farmers, financial inclusion or five year plans was not in their business priority. (कुछ अमीर और रसूखदार लोगों के हाथ में ही पूरे बैंकिंग क्षेत्र की कमान थी. गरीबों और किसानों की

मदद करना, वित्तीय समावेशन करना, पंचवर्षीय योजनाओं में मदद करना - उन रसूखदार लोगों की प्राथमिकता/नियत नहीं थी/वे उदासीन इसमें थे.)

⇒ So, Govt started nationalisation of the banking sector two rounds in 1969 and 1980, with the objectives of financial inclusion, poverty removal, social welfare, protection of depositors and to prevent the concentration of wealth. (आजादी के बाद ज्यादातर बैंक निजी क्षेत्र के थे, केवल अमीर-रसूखदारों की मदद करते थे, इसलिए वित्तीय समावेशन गरीबी निवारण आदि उद्देश्यों के लिए सरकार ने उनका राष्ट्रीयकरण शुरू किया)

### 13.15.1 👨‍💼💰 Sarkaari banks: +ve impact

| +ve | -ve |
|---|---|
| • After nationalisation, the number of Bank branches in India, the amount of loan given to farmers and villagers= has increased.<br>• This helped in agriculture production and poverty removal in rural areas. (कृषि उत्पादन और गरीबी निवारण में मदद की है)<br>• PSBs account for 70% of the banking business in India.<br>• SBI is among the top 100 banks of the world. | • 2023: 75% of the bank frauds happened in PSBs alone- as per RBI Annual Report!<br>• Compared to private sector banks, the public sector banks have higher NPAs and lower profitability.<br>• 😨Global top-100 banks: China (18 banks), USA (12 Banks), Japan > France > …..India (only 2: HDFC, SBI). India should have 6–8 banks in the global top 100. (विश्व की 100 सबसे बड़ी बैंकों में भारत का सिर्फ एक ही बैंक है) |

### 13.15.2 👨‍💼💰 Sarkaari banks - reasons behind inefficiency (अकुशलता के पीछे कारण)

- 🤡 Usually the persons favoured by the present-day ruling party become the Board of directors, irrespective of merit or qualification. Thus, political considerations have significant control/influence over bank's business operations. (बोर्ड मे राजनीतिक तत्व- जिनमें बैंकों का सही प्रबंधन करने का अनुभव या कौशल्य नहीं है)
- 😨PSB staff's salary does not depend on the profitability of the bank. Employee unions frequently engage in strikes/hartals. (प्रदर्शन आधारित तनख्वाह नहीं. बार बार हड़ताल पर चले जाते है)
- 😨They've apathetic attitude towards marketing, and customer satisfaction- than pvt sector bankers. (नई तकनीकी अपनाने में, तथा ग्राहकों का संतोष बढ़ाने में इन बैंकों का उदासीन रवैया है.)
- 👨‍💼🕵️:😨 PSBs subjected to Right to Information (RTI) act, Central Vigilance Commission (CVC), Comptroller Auditor General (CAG), Central Bureau of Investigation (CBI), Courts & media in a more stringent manner. (बैंकर खौफ में रहते है की ईमानदार निर्णय की भी शक से जांच होगी, और उनकी पदोन्नति रोक दी जाएगी, और किसी दूरदराज़ के इलाक़े में पर उनका तबादला कर दिया जाएगा.)
- Consequently, PSB officials fear harassment under the veil of vigilance investigations & media-trials. They prefer safety and conservatism over risk-taking and innovation. (रूढ़िवाद पसंद. नवाचार नापसंद.)

### 13.15.3 Sarkaari Banks: Governance Reforms already done

⇒ PSBs' CMD post bifurcated into 1) separate chairman and 2) separate MD&CEO so that banks can function in more professional and accountable manner.

⇒ **Indradhanush** plan for bank recapitalization (₹ 70,000 crores)

⇒ Finance Ministry setting up an autonomous body- Bank Board Bureau (BBB)- later replaced with **Financial Services Institutions Bureau (FSIB)** for selection of top management officials.

⇒ Enhanced Access and Service Excellence (EASE) framework to rank the PSB's performance on six parameters. (प्रदर्शन नापने के लिए EASE ढाँचा।)

⇒ Staff Accountability Framework for PSB. (स्टाफ़ के लिए जवाबदेही ढांचा।)

## 13.16 Sarkaari Banks – What reforms should be done? (भविष्य के सुझाव।)




| | |
|---|---|
| **Ownership Reforms (स्वामित्व सुधार)** | ⇒ Transfer the ownership of the government to a professional banking investment company (BIC) so as to reduce the influence of government in appointment of board of directors – as recommend by P.J.Nayak committee<br>⇒ Privatise the loss making / scam-ridden public sector banks (PSB) e.g. UTI (Axis), IDBI. (घाटे में जा रही सरकारी बैंकों का निजीकरण किया जाए।)<br>⇒ Merge smaller PSBs into larger ones. e.g. Vijaya & Dena Bank to Bank of Baroda. |
| **Personnel Reforms (कार्मिक सुधार)** | ⇒ Allow campus recruitment, lateral entry in higher management positions to recruit best talented manpower. (कॉलेज केम्पस से सीधी भर्ती, पार्श्विक भर्ती।)<br>⇒ Make employees 'part owners' through Employee Stock Ownership Plan (ESOP).<br>⇒ So they'll become more sensitive about the profitability of the bank. |
| **Surveillance (निगरानी)** | ⇒ Use Artificial Intelligence (AI), Machine Learning (ML), Big Data Analytics, geotagging of mortgaged assets etc. (कृत्रिम बुद्धिमत्ता आदि का उपयोग।)<br>⇒ setup an organization PSBN Network to implement above ICT-solutions. <More in NPA section of Mains-QEP Handout> |

### 13.16.1 PSB Banking Personnel Reforms→ ES20 suggestions

- PSBs should be allowed to do 1) campus recruitment of atleast some specialists (कुछ विशेषज्ञों की केम्पस परिसर से सीधी भर्ती) 2) lateral entry in higher management (उच्च प्रबंधन में पार्श्विक भर्ती ).

- PSBs should give Employee Stock Option Plan (ESOP) to their employees. ESOP is a type of benefit plan wherein employees given some shares of the company (Apart from their regular monthly salary). [कर्मचारी स्टॉक विकल्प योजना: वेतन/तनख्वाह के अलावा बैंकिंग कंपनी के शेयर भी कर्मचारी को दिए जाये]

| When/if company makes profit → | How does employee benefit from ESOP? (क्या फायदा होगा) |
|---|---|
| 1) Market price of shares ↑ | He can sell his shares to a third party for a large gain. |
| 2) the dividend to the shareholders will increase. | He can keep the shares with himself, and will get large dividend from the company (in addition of his regular salary) तनख्वाह के अलावा कंपनी के मुनाफे में से लाभांश भी मिलेगा |

- As shareholders, some of these employees may even join as board members → help designing more realistic business policies at the apex level. Thus, ESOP changes mind-set from an "employee" to that of an "owner". (कर्मचारी में कंपनी का मालिक होने की भावना जगाता है)
- It encourages the employee to work harder with more dedication, loyalty and passion for the company's profitability and brand image. (वह समर्पण निष्ठा और जुनून से बैंक के लिए काम करना शुरू करता है)

### 13.16.2 👋🔨Sarkaari banks - conclusion / way forward (निष्कर्ष / भविष्य के लिए सुझाव।)

- Thus, after Independence, the nationalized banks/public sector banks have helped in financial inclusion and poverty alleviation, but areas of bad loans, profitability, cyber-frauds, remain a concern.
- They need to be addressed through adequate reforms in ownership, manpower/personnel reforms, surveillance, mergers, and privatization.
- Then PSBs can play a more effective role as a catalyst to make India a developed nation by 2047. (वित्तीय समावेशन और गरीबी निवारण में अच्छा काम किया है लेकिन मुनाफा बढ़ाना है घोटाले कम करने हैं, तो इनके स्वामित्व/मालीकी कार्मिक प्रशासन, निगरानी, विलीनीकरण निजीकरण आदि के सुधार करने जरूरी। तभी भारत को विकसित देश बनाने में यह उद्दीपक का काम अच्छे से निभा पाएंगे)

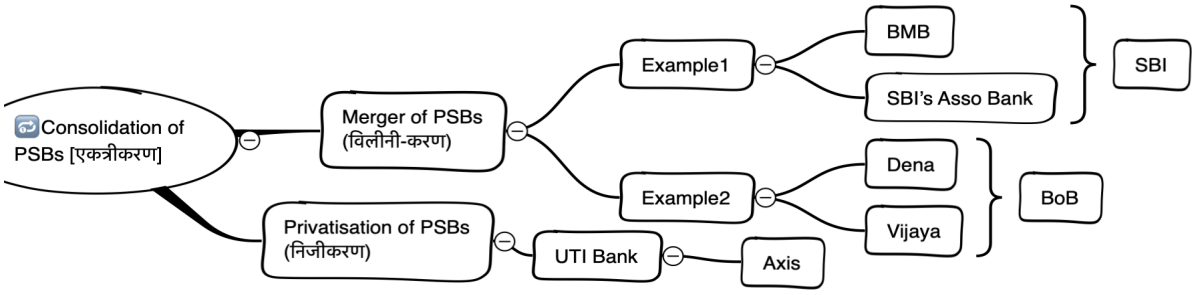



## 13.17 👨‍💼💰 PSB CONSOLIDATION = A) MERGER B) PRIVATIZATION

| Term | Definition |
|---|---|
| PSBs | Public sector banks, where government is majority owner. |
| Merger (विलीनीकरण) | Merging of two or more smaller public sector banks in to a bigger |

| | |
|---|---|
| | public sector bank. |
| **Privatization (निजीकरण)** | Transferring majority ownership to the private sector. |
| **Consolidation** (एकत्रीकरण /समेकन) | Reducing the number of public sector banks through merger and privatization. |

⇒ (Data) Before 2019: we had over 20 PSBs. By 2023 it is reduced to 12 PSBs (Total 13 if you count India post payment bank as well).




### 13.17.1 Benefit? (सार्वजनिक क्षेत्र के बैंकों के एकत्रीकरण से होने वाले फ़ायदे)

- Geographical & technological synergies in ATM, Branches, Security Staff, Servers cost etc. (भौगोलिक और तकनीकी तालमेल)
- Presently only two Indian bank in the global top 100 i.e. HDFC and SBI. After consolidation, we will be left with some bigger sized PSBs, who can get into global list.
- Then it will be easier for such globally recognized bank to open branches abroad, attract foreign clients, issue FPOs/ADR/GDR in foreign nations to mobilize more capital.
- Then, easier to Government to capitalize such large sized PSB to comply with BASEL-III Norms.




### 13.17.2 Anti-Arguments against Merger and Privatization of PSBs (विरोध में तर्क)

- Employees worried seniority, promotion, increments (वरिष्ठता, पदोन्नति, वेतन वृद्धि);

- Financial burden of Voluntary Retirement Scheme (VRS: स्वैच्छिक सेवानिवृत्ति योजना का वित्तीय बोझ). 🚩👶What is VRS? Ans. Explained in Video lecture.
- Transfer and VRS of employees → Banks may lose regional identities & customer intelligence. (क्षेत्रीय पहचान चली जाएगी)
- Big customers may shift to other banks for faster service and personalized privileges. (तेजी से सेवा और व्यक्तिगत सेवाए नहीं मिलने पर व्यापारी दूसरे बैंकों में खाता खोलेंगे)
- Private sector banks are no saints. There have been instances of private sector banks engaging in money laundering activities (e.g. Cobrapost Sting), taking bribes to pass loans to unworthy borrowers (e.g. ICICI Loans to Videocon)- which ultimately harm depositors (निजी क्षेत्र के बैंक काले धन को वैध बनाना, रिश्वत लेकर गलत लोगों के लोन पास करना, और दूसरी वित्तीय धांधलीयों में शामिल है। इसलिए निजीकरण को हमारी समस्याओं का रामबाण इलाज मानना गलत होगा। )

### 13.17.3 👨‍💼💰Conclusion – yes we need to consolidate.

While there are some concerns/anti-arguments, but they are not strong enough to continue the status quo. Therefore, in 👛Budget-2021 speech, Finance Minister announced to reduce the number (PSBs) from 12 to just 4-5 through a combination of mergers and privatizations. This will help improving the operational efficiency of the PSBs in banking, credit, and financial inclusion to make India a developed nation by 2047.

### 13.17.4 👨‍💼💰Banking Reforms: 4R4D Roadmap by Economic Survey

*Table 1: Points for assembling Mains Answers Rapidly*

| Eco.Survey-2015: "4R" framework | Eco.Survey-2014: "4D" framework |
|---|---|
| **Recognition** (पहचान): of bad loans via asset quality review (AQR) | **Disinter**(खोदकर निकालना)**:** "Digup graves, recover money": using SARFAESI Act, I&B code, Sashakt |
| **Resolution** (समाधान): via schemes/mechanisms I&B, Project Sashakt for PSBs. | **Differentiate** among PSB (भिन्न व्यवहार करना): Government should recapitalize Profit Making PSB: while merge or privatize Loss Making PSB. |
| **Recapitalization**(पुनर्पूंजीकरण): for BASEL-III norms ⟹ Indradhanush, Bank Recap Bonds & other measures: | **Diversify** (वैविध्य लाना): Allow more number and variety of Banks.⟹ SFB & PyB allowed. Wholesale Bank proposed. |
| **Reforms**(सुधार): Governance & Administration of PSB⟹ BBB, EASE | **Deregulate** (नियंत्रण मुक्त): Lower SLR, Promote Corporate Bond market so they borrow less from Banks |

*Further, you can also mention: PCA Norms, PCR registry, PSBN Network, ESOP etc.*

### 13.17.5 ✍️Ultimate Conclusion for Banks? (बैंकों के बारे में निष्कर्ष- जब लिखने के लिए और कुछ ना बचा हो)

- ✓ A vibrant banking system can support India's growth story/ PSBs are growth levers for India.
- ✓ Inefficient PSBs can severely handicap the country's economic development.
- ✓ 35% of Indians are in the 15-29 years age group. Majority of them live in rural areas and many of them require education loans and business loans to progress in life.

✓ Therefore, aforementioned initiatives are imp in that regard/ need to be addressed on priority basis to

- 1) Reap India's demographic dividend and
- 2) To achieve developed nation status by 2047.

(भारत की विकासगाथा को आगे बढ़ाने, तथा जनसांख्यिकीय लाभांश को प्राप्त करने के लिए जीवंत बेकिंग प्रणाली आवश्यक। अत: उक्त रिजर्व बेंक|सरकार के उक्त कदम सरहनीय है/ उक्त सुधारो की आवश्यकता है।)

## 13.18 🚫🏦 👨⚖️🚗📜 SHOULD ADANI/AMBANI BE ALLOWED TO SET UP BANKS?

2016: RBI issued guidelines for 'on-tap' Bank license. ['On-Tap'= You may apply for it whenever you are ready - just like a driving license. You don't have to wait for the notification date or "last date to apply" like UPSC.]

⇒ On-Tap guideline: Company with minimum ₹500 cr capital can apply. However, its technical rules about assets/ownership were such that Large NBFCs (ILFS, Bajaj FinServ etc.) and industrial houses (Tata/Adani/Ambani etc) could not apply for it.

⇒ 2020-June: RBI's PK Mohanty committee for Corporate Structure for Indian Private Sector Banks.

⇒ Mohanty committee recommended allowing large NBFCs/Corporate/Industrial Houses to apply for Bank licenses. (बड़ी गैर बैंक वित्तीय संस्थान और कॉरपोरेट समूह को बैंक बनाने की छूट मिले)

⇒ But, critiques argued it'll create problems if Adani/Ambani open Banks.

### 13.18.1 🚫🏦 👨⚖️🚗📜: 😇 Arguments in Favour पक्ष में तर्क

⇒ ↑ competition, better interest rates, customer services. ज्यादा स्पर्धा, अच्छे ब्याज दर, ग्राहकों को अच्छी सेवाएं

⇒ Existing banks' balance sheets have deteriorated by scams & bad loans. So, they've become overcautious and slow in lending to large business projects. Entry of fresh new banks to invigorate the banking sector. पुरानी बैंकों में वित्तीय घपलो/समस्याओ के चलते बड़े प्रोजेक्ट में लोन देने में सुस्ती। नई बैंकों के प्रवेश से इस क्षेत्र में स्फूर्ति आएगी।

⇒ ↓ Chances of scams associated with Shadow Banks / NBFCs in futures - after ILFS & other big NBFCs convert themselves into Banks ⟶ RBI can supervise them more effectively.

### 13.18.2 🚫🏦 👨⚖️🚗📜: 😨 Arguments Against: विपक्ष में तक

⇒ 😨 Increased competition may lead to a natural tendency of mis-selling the products and lending money to more risky businesses as evident from 2008's American Subprime crisis. (अत्याधिक स्पर्धा के चलते येन केन प्रकार से मुनाफा बटोरने के लिए अनावश्यक रूप से जोखिम लेकर कमजोर कंपनियों को लोन दिए जाएंगे )

⇒ 😨 PNB-Nirav Modi loan scam, Yes Bank-Rana Kapoor scam, ICICI-Vodafone loan scam = RBI has failed to effectively supervise even the existing banks. (रिजर्व बैंक वर्तमान बैंकों की निगरानी करने में भी कमजोर साबित हुआ है)

⇒ 😨 Already large NBFCs are involved in scams: ILFS scam, DHFL scam, Karvy Capital Scam- the critics are afraid that allowing large NBFCs in the Banking sector = more such scams. (वित्तीय घोटालों की माला बढ़ेगी )

⇒ 😨 Corporate governance in large industrial houses is not inspiring confidence at present e.g. Ratan Tata vs Cyrus Mistry, Infosys founder Narayan Murthy versus ex-CEO Vishal Sikka etc.

Allowing them in the banking sector is not advisable. (बड़ी कंपनियों का कॉरपोरेट शासन ठीक नहीं है. संस्थापक आपस में ही लड़ते झगड़ते रहते हैं )

⇒ 😨Large industrial houses like Tata, Ambani, Adani- may use the depositors money mainly to finance their own projects/ nepotism, even if such projects are not viable- There will be evergreening of loans for them. (भाई भतीजावाद में लोन दिए जाएंगे, पुरानी लोन चुकाने के लिए नया लोन दिया जाएगा, भले कर्जदार का प्रोजेक्ट बेकार हो.)

⇒ 😨Could be misused for money laundering by big industrialists. (काले धन को वैध बनाने मैं दुरुपयोग)

⇒ 😨May concentrate India's economic power, depositors' savings in the hands of few oligarchs. Then it could destabilize the entire banking system. (बचत कर्ताओं की जमा पूंजी और भारत की आर्थिक शक्ति कुछ गिने-चुने रसूखदार/कुलीनवर्ग के हाथों में केंद्रित, जिसे पूरी बैंकिंग व्यवस्था अस्थिर होने का खतरा। )

⇒ 😨Even in developed countries regulators do not encourage the entry of large corporates in the banking sector mainly for the apprehensions about governance and financial stability. (विकसित देशों में भी वित्तीय नियंत्रक इस प्रकार की अनुमति नहीं देते क्योंकि उन्हें भी बैंकिंग शासन और वित्तीय स्थिरता में जोखिम दिखता है)

### 13.18.3 🚫🏦 👴⚖️ 🚗🟫: Conclusion about banking license to Adani/Ambani? (निष्कर्ष)

⇒ ✋**Anti:** Considering aforementioned challenges, risks far outweigh the benefits. RBI and government should focus on improving the administration & supervision of existing bank instead of allowing large industrial houses here. (आकर्षण/फायदे कम और चुनौतियां ज्यादा। इसलिए यह करने की जगह, वर्तमान बैंकों का प्रशासन और निगरानी ठीक करने में जोर देना चाहिए.)

⇒ 🤩**Favor:** Considering above benefits, Large NBFC and industrial houses may be given bank licences after due diligence & effective supervision. (उक्त फायदों को देखते हुए, प्रभावी निगरानी के साथ इन्हें बैंक का लाइसेंस देना चाहिए)

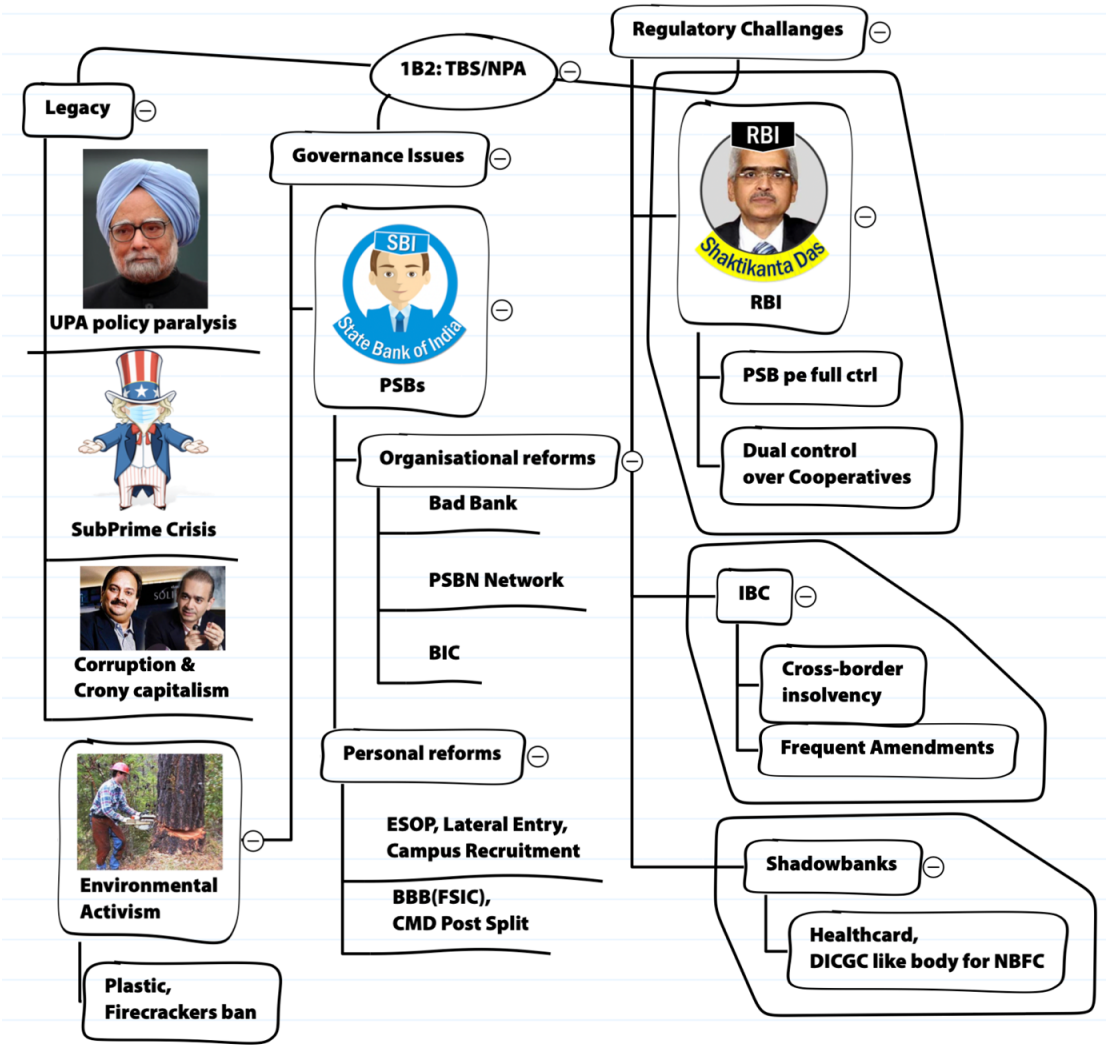
## 13.19 👨💰 RRB PROBLEMS AND COOP BANK PROBLEMS

- **RRB**: capital starved, low deposit, NABARD dependent for funds. Govt taking steps for merger of RRBs.
- **CooP**: dual supervision problem until 2020 Amendment, political Nexus, casteism frauds
- More explanation refer to prelim handout classes.

### 13.19.1 ✍️🤞 Mock Questions for Mains

1) Examine critically the role of nationalised banks in Indian Economy since independence. Suggest roadmap for their future growth. (स्वतंत्रता के बाद से भारतीय अर्थव्यवस्था में राष्ट्रीयकृत बैंकों की भूमिका का आलोचनात्मक परीक्षण करें। उनके भविष्य के विकास के लिए दिशानिर्देश सुझाएं।)
2) What do you understand by the term Development Finance Institutions? How are they different from the banks? Discuss the rationale behind setting up of National Bank for Financing Infrastructure and Development (NABFiD) (आप विकास वित्त संस्थानों शब्द से क्या समझते हैं? वे बैंकों से कैसे अलग हैं? NABFID की स्थापना के पीछे तर्क पर चर्चा करें) Ans. Refer to Prelims Handout.
3) Review/Evaluate the role of RBI as a financial sector regulator. Has it fulfilled its mandates adequately? (- वित्तीय क्षेत्र नियामक के रूप में आरबीआई की भूमिका की समीक्षा/मूल्यांकन करें। क्या इसने अपने जनादेश को पर्याप्त रूप से पूरा किया है?)
4) Will converting RBI into a constitutional body make it more capable of achieving its objectives? (- क्या आरबीआई एक संवैधानिक निकाय में परिवर्तित करना आरबीआई को अपने उद्देश्यों को प्राप्त करने में अधिक सक्षम करेगा?)

5) "Discuss the evolution / structure / function / objective of Payment bank/RRB etc"= This is a too simplistic Mains Question for UPSC. These institutions have to be seen in the context of GDP/Economic Growth, Investment/NPA-Bad loans, Inclusive growth/Financial Inclusion. So, indirectly you may use them as fodder points in such questions. (इस प्रकार के सामान्य प्रश्न नहीं पूछे जाते यूपीएससीमुख्य परीक्षा में)




# 14 🔪NPA / Bad Loans (अनर्जक परिसंपत्तिया)

### 14.11.1 🔪 NPA Intro

- (Definition) If loan principal or interest is not paid for more than 90 days from its due date, then such loan account is classified as Non-Performing Asset (NPA). (नियत तिथि/तारीख के ऊपर भी 90 दिनों से अधिक हो चुके हो किन्तु किश्त जमा नहीं की गयी तो उस लोन खाते को बैंक की अनर्जक परिसंपत्तिया माना जाता)

⇒ In any healthy economy, some of the companies and individuals suffer financial issues in loan repayment so it is normal that 1-2% of the loans become NPA. (1-2% होना सामान्य/आम बात है।)

⇒ However, this problem skyrocketed during 2013-2018 when over 10% of the bank-loans became NPA. (किंतु यदि ये 10% से भी ज़्यादा बढ़ जाएं तो चिंता का विषय।)

⇒ Economic Survey had used the term Twin balance sheet syndrome (TBS) to describe this problem because balance-sheets of (1) some Large Corporates Companies & (2) Public Sector

Banks (PSB) became weak. [दोहरे तुलनपत्र की समस्या] <NOTE: TBS how happened- explained in Prelim Handout>

- However, In recent years, with the combined efforts of the RBI, Government, IBBI & the bankers, the NPA amount has decreased steadily

**Chart III.6: Trends in GNPAs of SCBs and CRAR**

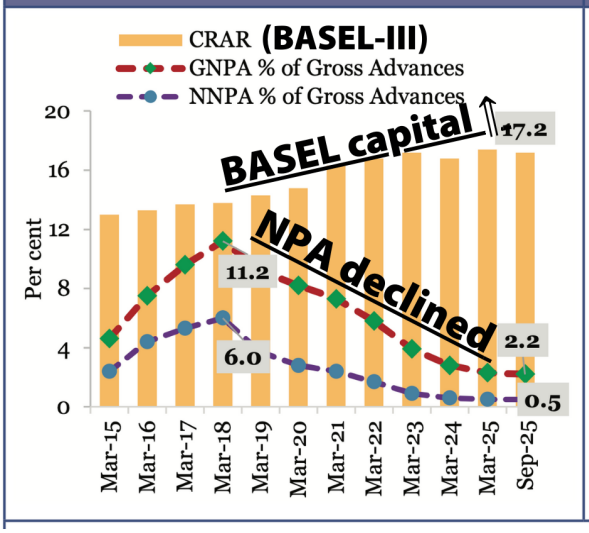
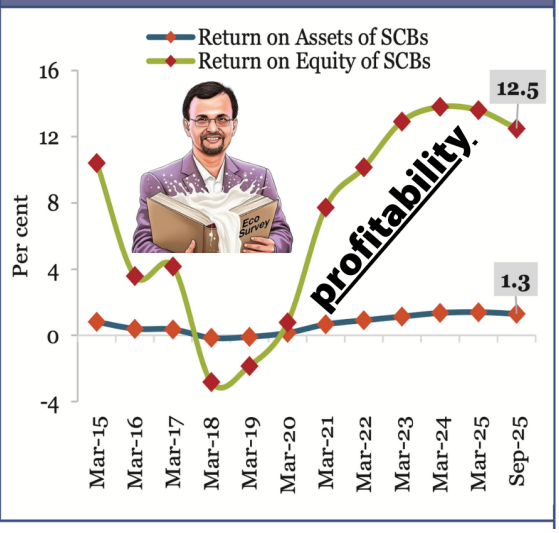
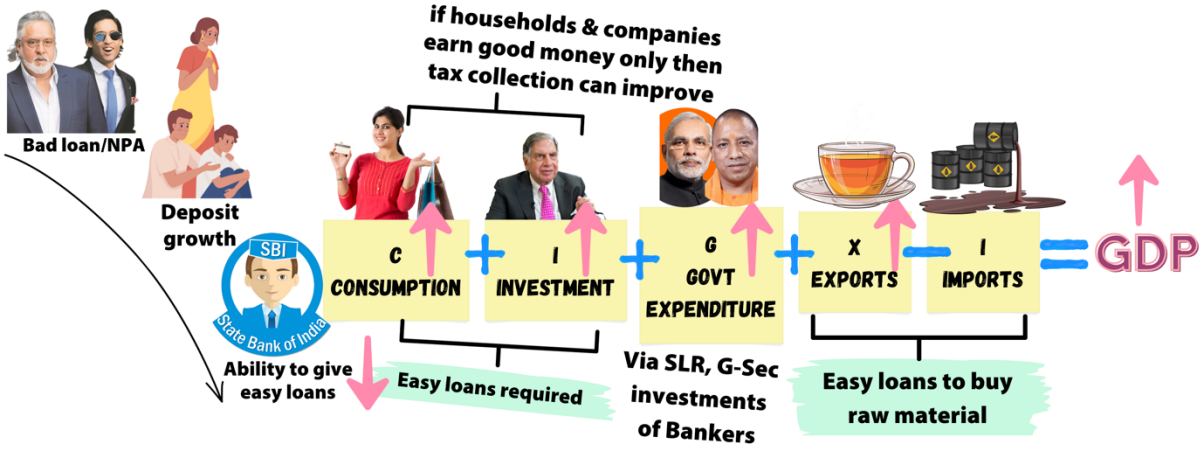



**Chart III.7: Improvement in performance indicators of SCBs**




### 14.11.2 🔪 Easy loans help in GDP Growth how? / why Banking reforms req?




आर्थिक वृद्धि दर को बढ़ाने के लिए लोन आसानी से मिलना बहुत जरूरी है

## 14.12 🔪💰💳😪📈 NPA IN GOLD LOAN AND CREDIT CARDS

Note: UPSC may not direct the question from this for the mains exam, but the reflection points can be used in other questions related to financial inclusion and corporate/bankers' ethics.

| Loans in 2024 | Credit card | Gold Loans |
|---|---|---|
| total outstanding | ₹3 lakh cr | ₹11 lakh cr |
| NPA | From ₹1100 cr (2020) to nearly ₹7000 cr in 2024 | crossed ₹6500 cr |

### 14.12.1 🔪💰💳😪📈 Credit Card NPA problem - economic aspects

- Total Credit cards = 100 million+ in 2024. (1 person may be having multiple cards)

- Banks aggressively issue cards often to low-income or first-time borrowers with weak credit checks.[बिना सख़्त जाँच किए, कम आय वाले लोगों को क्रेडिट कार्ड देना।]
- Poor financial literacy, particularly among younger users, leads to missed payments and non-essential spending.
- First time users are prone to impulsive spending and debt traps. [आवेग पूर्ण/ ग़ैर ज़रूरी ख़र्च करके कर्ज-जाल में फँसना ]
- Rising inflation versus stagnant salaries → consumer using credit card for essential spending (groceries, utility bill payment etc.) [बढ़ती महंगाई लेकिन स्थिर वेतन. जीवन-यापन की आवश्यक वस्तुओं के लिए भी क्रेडिट कार्ड का उपयोग]
- Irregular incomes, especially for gig workers and MSMEs. [अस्थिर आय]
- Mass-layoffs: More than 90,000 IT employees already lost jobs in 2024
- ✍️ Conclusion: Credit Card should not be issued without stricter credit checks norms and better financial education. Else it can result in a deeper debt crisis. [सख़्त क्रेडिट जाँच और वित्तीय शिक्षा के बिना क्रेडिट कार्ड नहीं देना चाहिए।]

### 14.12.2 🔪💰💳😪📈 Credit Card NPA problem - ethical aspects

- Predatory/Irresponsible lending by Bankers. Exploitation of the vulnerable and gullible population by the bankers. (बैंकरों में ग़ैर ज़िम्मेदार या शिकारी मानसिकता से लोन देने की वृत्ति।)
- Corporate greed: stagnant salaries, layoffs. (कंपनियों का लोभ)
- Lack of financial literacy and financial discipline among the reel-brain-rot public. (वित्तीय साक्षरता और अनुशासन)
- People living beyond their means. Rising consumerism. (उपभोक्तावाद)
- Need for value inculcation by Family, teachers, religious/caste readers and celebrities. (वित्तीय मूल्यों का सिंचन सबकी ज़िम्मेदारी है।)
- RBI/Govt alone cannot be held responsible for everything that is rotten in the society. (हर समस्या के लिए रिज़र्व बैंक या सकार अकेली ज़िम्मेदारी नहीं हो। सकती।)

### 14.12.3 🔪💰💍😪📈 Gold Loans NPA rise- why? (स्वर्ण-ऋण/सोना देके कर्ज लेना)

- The gold loan segment is mostly dominated by NBFCs that flout RBI norms, such as KYC, loan-to-value ratio, faulty gold assessment, and lending to borrowers with poor credit history.
- Gold loans are typically taken by vulnerable segments with weaker repayment capacities.(ज़्यादातर ग़रीब लोग लेते हैं उनकी लोन चुकाने की क्षमता वैसे भी कमज़ोर ही होती है)
- Economic slowdown, rising inflation, stagnant incomes, AI-layoffs, and irregular incomes further complicate the repayment.

### 14.12.4 🐯🔪💊 Bad Loan Fixing- RBI (2015-19): RBI "3R"

### 14.12.5 ✔Rectification (सुधार)

- 2015: RBI ordered the Banks to conduct Asset Quality Review (AQR: परिसंपत्ति गुणवत्ता समीक्षा) and begin rectification of bad loans i.e. Bank doesn't change in loan interest, tenure or terms, but asks client to rectify his irregularity in loan-repayment.
- In genuine case, additional loan may be given. Bank may also try to find a new partner / investor for reviving the project. बेंक अतिरिक्त कर्ज दे सकता था, नया निवेशक ढूंढने मदद कर सकता था।

### 14.12.6 ↖Restructuring (पुनर्गठन: ब्याज दर या कर्ज चुकाने की अवधि या मालिकी में बदलाव)

**Restructuring** = Changing the loan interest (%) or tenure or ownership.

### 14.12.7 🔪 Recovery (वसूली)

Bank liquidates loan-defaulter's assets under either of the following acts: (संपत्तियों की जब्ती और नीलामी)

1) SARFAESI Act 2002 (सरफाएसी अधिनियम/कानून) OR
2) Insolvency and Bankruptcy Code 2016 (*शोधन-अक्षमता एवं दिवालियापन संहिता 2016*)

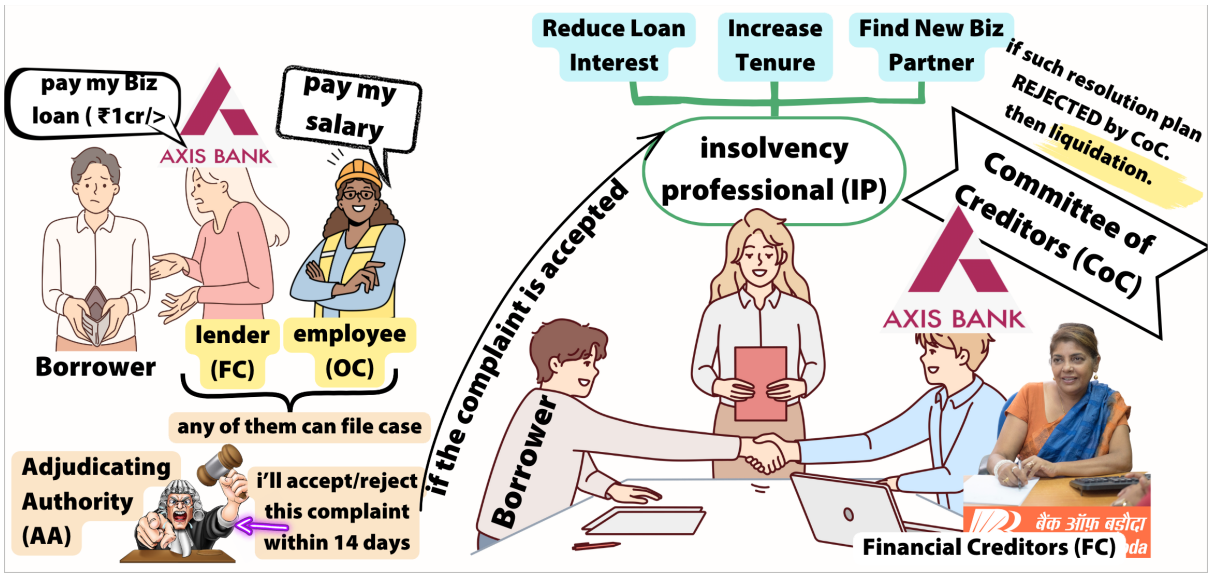
Follow acts also help indirectly:

⇒ FUGITIVE ECONOMIC OFFENDERS ACT, 2018 (भगोड़ा आर्थिक अपराधी अधिनियम)

⇒ Deposit Insurance and Credit Guarantee Corporation (DICGC) Act, 1961 (निक्षेप बीमा और प्रत्यय गारंटी निगम)

Above laws' features explained enough in the Prelims handout. You should be intelligent and mature enough to write this in your own words.

## 14.13 🔪 Bad Loans: IBC Code 2016 (शोधन क्षमता और दिवालियापन संहिता)




- (Origin) until 2016, India had only 1 law to deal with bad loans i.e. SARFAESI Act, 2002. However, it had certain limitations resulting in case pendency and suboptimal loan recovery, so government came up with one more at law i.e. INSOLVENCY AND BANKRUPTCY (I&B) CODE 2016 to permit arbitration / conciliation / mediation with the between the lenders and the borrowers.

### 14.13.1 🔪👍 IBC +ve Benefits (इस कानून से क्या फायदे हुए)

### 14.13.2 🔪👍Better resolution than SARFAESI

- 🤩Appreciated that IBC proceedings take on average 340 days to complete, unlike SARFAESI legal proceedings which take 4.3 years. केस का निपटारा ज्यादा जल्दी से हो पाता है
- 🤩Appreciated that IBC helps recovering more amount of loan than SARFAESI in 2018-19

| Approx. Amount recovered in crores | 2017-18 | 2018-19 |
|---|---|---|
| SARFAESI | 33,000 | 52,000 |
| IBC | 5000 | 71,000 |

(सरफ़ाएसी कानून के तुलना/मुकाबले आईबीसी कानून में ज्यादा मोटी माल्रा में बकाया कर्ज/ऋण की वसूली हो पाती है ऐसी प्रशंसा)

### 14.13.3 🔪👍IBC +ve Benefits : Misc.

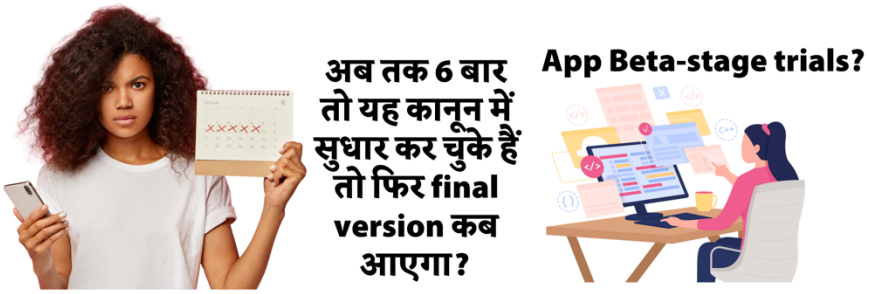



- With I&B Code and other measures by RBI=NPA % has ⏬ (अनर्जक परिसंपत्तियों के निपटान में मदद मिली.)
- I&B code's time-bound mechanisms have prompted **'behavioural changes'** in corporate borrowers. Now they fear losing control of the company. This has improved corporate governance, cash and financial discipline. (कॉर्पोरेट देनदार के व्यवहार में परिवर्तन, कंपनी की मालिक की मेरे हाथ से चली जाएगी इस डर में नियमित कर्जा वापस कर रहे हैं)
- S&P Global Ratings upgraded India's insolvency regime from 'Group C' to 'Group B' (2025)

### 14.13.4 IBC – more benefits as per 📘ES25 (Ref Prelims HDTs to learn theory)

- IBC recovered ₹3.6 lakh crore from borrowers. (As of 2024-Sept.)
- IBC has increased forex hedging by the borrowers. (उधारकर्ताओं द्वारा फ़ोरेक्ष-हेजिंग)
- Bond Credit Spread = Corporate Bond Yield - Treasury Bond Yield. IBC reduced Bond credit spread, bcoz now investors feel safer to stay in the Corporate Bonds, than in the past era. (बांड-क्रेडिट स्प्रेड में सुधार, जो दर्शाता है, निवेशक अब कंपनियों में बांड में पहेले से ज़्यादा/अधिक सुरक्षित महसूस कर रहे है))
- Even during economic slowdowns, RBI/government does not have offer massive-bailouts/relief packages to the bankers on loan-defaults. IBC has reduced the need for such costly macroprudential interventions. (लोन घोटालों को दुरुस्त करने के लिए बड़े आर्थिक पैकेज नहीं जारी करने पड़े)

## 14.14 🔪👎IBC: -VE / LIMITATION / CHALLENGES (चुनौतियां मर्यादा)




| Problem (चुनौतियां समस्या) | Way forward (इलाज सुझाव) |
|---|---|
| **Far too slow** — resolution takes ~2 years (often more) vs the ~330-day (under a year) target. NCLT choked with ~30,000 cases → ~10 years to clear at this pace.<br>Frequent amendments (6–7 since 2016) keep inviting fresh | More NCLT benches + technology for faster disposal; activate more insolvency professionals (today <half of |

| Problem (चुनौतियां समस्या) | Way forward (इलाज सुझाव) |
|---|---|
| court challenges → more delay. (बहुत बार कानून में सुधार हुए। वास्तविक जीवन में प्रावधानों से विपरीत बोहोत ज़्यादा समय लेता है। अपील बेंचों की संख्या कम होने के चलते मामले विलंबित।) | ~4,500 are active); penalise frivolous/delaying petitions;. |
| IBC was meant to be a settlement between lender & borrower, not a criminal trial. But at NCLT it becomes a battle of lawyers. ( संवाद और समझौते की जगह विवाद और क़ानूनी दाँवपेंच का युद्ध मैदान बन चुका) | Simplify court procedure; restore the collaborative, non-adversarial spirit. |
| **legal gaps** — no proper framework for cross-border insolvency and group insolvency (e.g. Tata Sons, Tata Chemical, Tata Motors). (क़ानूनी अस्पष्टता: सीमा पार का दिवालियापन और एक ही ग्रुप की कंपनियों में से किसी एक कंपनी का दिवालियापन के मामलो में।) | Separate legal frameworks for each. (उचित अलग अलग क़ानूनी ढांचे बनाया जाए।) |
| **Bankers hesitate** — PSU bankers avoid haircuts/settlements at loss, fearing CVC/CAG inquiries & media trials. (मीडिया और कोर्ट के भय से सरकारी बैंकों के अधिकारी नुक़सान लेकर समझौता नहीं करते।) | Protect honest, good-faith commercial decisions.(ईमानदार, साफ़ इरादे से लिए निर्णयों की रक्षा) |
| **Useless against absconders** — wilful defaulters who flee abroad (Mallya, Nirav Modi, Choksi) took years to even pursue. (भगोड़े अपराधी जो विदेश चले गए उनके ख़िलाफ़ बेअसर/ रामबाण इलाज नहीं ।) | Lean on SARFAESI Act + Fugitive Economic Offenders Act + global cooperation. IBC alone is no panacea. |
| **Pre-pack Insolvency flopped** for MSMEs barely used (too complex, low awareness). | Simplify + build awareness. (छोटे उद्योगों के लिए जो अलग प्रीपेक फ्रेमवर्क बना था, वो तकनीकी उलझनों के चलते वास्तव में ज़्यादा इस्तेमाल नहीं हो रहा।) |

### 14.14.1 🔪👎Conclusion- IBC (निष्कर्ष)

Thus, the insolvency bankruptcy code is an experimentation in the right direction to deal with mounting bad loans problem in India. However, it needs to be complemented with greater use of technical surveillance, governance reforms in the public sector banks, legislative measures against willful defaulters, international cooperation to deal with fugitive economic offenders - to thoroughly solve the existing bad loan problem and to prevent it from recurring in the future. (आईबीसी कोड/संहिता अनर्जक परिसंपत्तियों के ख़िलाफ़ लड़ने के लिए ये सही दिशा में किया गया एक प्रयोग है। किन्तु इसके उपरांत/अलावा, और भी सुधार की आवश्यकता जैसे टेक्नोलॉजी की मदद से निगरानी, सरकारी बैंकों के शासन में सुधार, जानबूझकर कर्ज़ न चुकाने वाले लोगों के ख़िलाफ़ सख़्त क़ानून, अंतरराष्ट्रीय सहयोग आदि। तभी हम भविष्य में इस समस्या के पुनरावर्तन को रोक पायेंगे।)

### 14.14.2 BAD Bank – NARCL / IDRCL

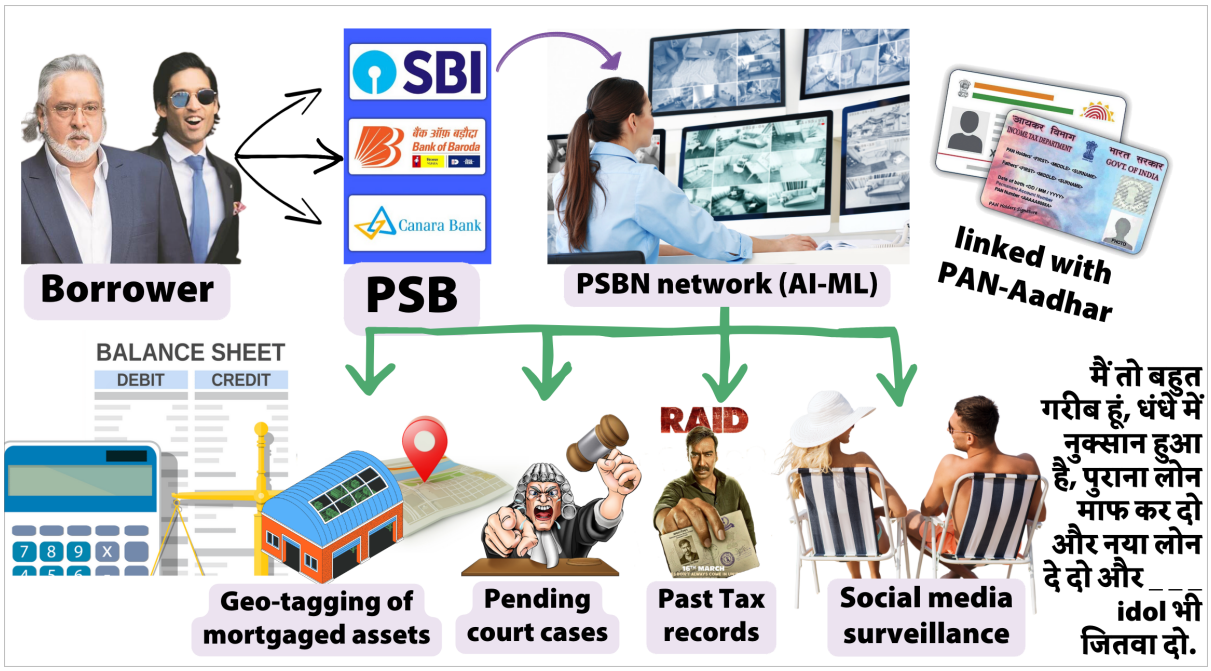
Sufficiently covered in the **Prelims handout** including introduction and conclusion.

## 14.15👁️🗨️🔪💻-📦📦NPA- SURVEILLANCE IMPROVEMENT (निगरानी बहुत ज़रूरी)

### 14.15.1 👁️🗨️🔪💻-📦📦NPA Surveillance – existing mechanism (वर्तमान प्रणालियाँ)

Ref Prelim HDT: CIC and CRA, Information Utility (IU), CRILC, Public Credit Registry (PCR), NFIR, LEI

### 14.15.2 👁🔍🔪💻-📦📦NPA Surveillance - ES20: Use AI-ML Technology




In PSBs, most of the loan-information processing (=Credit analytics) happens manually (ऋण विश्लेषण हस्तचालित रूप से करते है). This causes inefficiency, frauds and loan default. Tools such as Artificial Intelligence (AI), Machine Learning (ML) (कृत्रिम बुद्धिमत्ता/आसूचना और मशीन प्रशिक्षण) can help them in following ways:

⇒ **Willful defaulters** usually create fictitious companies to transfer their assets / shares / money just before they stop paying loan instalments. (जान-बूझकर लोन न चुकाने वाले, फर्जी कम्पनी बनाकर लोन के पैसो का गबन करते है, उसपर निगरानी संभव)

⇒ **Artificial Intelligence** (AI) can alert the authorities through real time surveillance & data analytics of the borrower's NEFT/RTGS/DEMAT account transaction. (अलग-अलग खातों पर निगरानी)

⇒ **Geo-tagging of assets** i.e. adding longitude and latitude data with the photos & videos of the Factory building, machinery, vehicles, aeroplanes, helicopter etc. **(संपत्ति की जियो-टैगिंग)** Then, →

- Scamster can't pledge fictitious assets as collaterals for loans (फर्जी संपत्ति जिसका अस्तित्व ही नहीं, उसे धोखेबाज़ गिरवी नहि रख पाएगा।)
- Scamster can't pledge the same asset as collateral to multiple banks/NBFCs. (एक ही संपत्ति को एकाधिक लोगों के पास गिरती रखकर लोन में धांधली करना सम्भव नहि होगा।)

⇒ **GPS chips** may be embedded in factory-machines and vehicle to track their real time location →

- If scamsters move the machinery out of the factory, the banker will be alerted.
- Bankers can remotely disable machines/vehicles, if loans are unpaid.

⇒ **Blockchain Technology** can used for storing and verifying the authenticity of the data.

⇒ AI can monitor **Social media activities** e.g. Borrower is not paying the loan and yet sharing the Switzerland vacation photos on Instagram = He is a wilful defaulter → Attach his assets under the SARFAESI Act. (कर्जदार के सोशल मीडिया गतिविधियों पर निगरानी रखी जाए)

✋ **Caution?** borrower's privacy and dignity should also be respected while doing such computerized surveillance. (उक्त कदम उठाते वक्त  कर्जदार की निजता का भी सम्मान रखना चाहिए)

### 14.15.3 👁️🔍🔪💻-📄📄 NPA Surveillance- ES20: setup PSBN Network

⇒ Govt should create a new organization named PSBN (Public Sector Bank Network), which will act as a Financial Technology/Fintech Hub (FinTech: वित्तीय प्रौद्योगिकी के लिए एक नई संस्था बनाई जाए).

⇒ Whenever a borrower applies for a loan to a public sector bank ⟶ Details will be sent to PSBN.
⟶ PSBN will verify the creditworthiness (वित्तीय साख) and risk profile (दिवालियेपन का जोखिम) of the applicant through:

- **Artificial Intelligence (AI),** machine learning (ML) and Big Data Analytics- as explained in the previous section
- **E-KYC (Know Your Customer)**: Aadhar verification ⟶ cross checking his Aadhar number against Financial data from Corporate Affair Ministry, SEBI/share market, Income Tax Department, GST, etc. (आधार कार्ड के जरिए उस व्यक्ति के शेयर बाजार, आयकर, जीएसटी इत्यादि का वित्तीय इतिहास जांचा जाएगा)

🤩 **Benefit?** fraud prevention, ⏬ chances NPAs, quicker decision making, process loan applications faster, cost saving for individual banks as all of them can use a single hub instead of spending on separate servers/tech. (वित्तीय घोटाले का जोखिम कम होगा, लोन अर्जीओं का जल्दी से निपटान संभव होगा)

### 14.15.4 📕ES24: Loans future suggestions, Digital footprint based landing.

- Explore Artificial Intelligence/ Machine Learning (AI/ML)
- Explore Decentralised Finance (DeFI) = basically, using Blockchain technology for UPI like person-to-person digital transactions, without requiring third-party such as Visa-mastercard card payment gateways. (विकेंद्रीकृत-वित्त)

| Present judgment-based traditional lending | future suggestion: Data-based lending |
|---|---|
| bankers approved loan based on the credit scores which are decided based on the paper, records of asset ownership, land ownership, et cetera,<br>(भौतिक सम्पत्तियों और काग़ज़ी लेनदेन से व्यक्ति की साख तय होती थी।) | e.g. Banker checking MSME borrower's the UPI/digital payment footprint, sales record from ONDC/Amazon etc for approving loans. (डिजिटल फुटप्रिंट से साख तय हो) |
| often, the small town MSME firms don't have such paper-documents, and therefore, either struggle to get the loan approved or get the loan at a higher interest rate. | problem solved. (छोटे शहरों की लघु उद्योगों के पास बहुत सारी लेन देन के काग़ज़ी दस्तावेज़ नहीं होते इस कारण से उनका क्रेडिट रेटिंग कमज़ोर आता है और बैंकर उनकी लोन अर्ज़ी जल्दी पास नहीं करते।) |

🧼Budget-2024-July also proposed similar thing for MSME. (बैंक में ऋण-अर्ज़ी/आवेदन के मूल्यांकन में काग़ज़ी दस्तावेजों पे निर्णय की जगह, अर्जदार की डिजिटल भुगतान के फुट-प्रिंट को देखते हुए उसकी अर्ज़ी पास करना।)

## 14.16🤖 AI- Artificial Intelligence and Banks - 📘ES25:

(Definition:) Artificial Intelligence (AI) means making computers or machines think and act like humans e.g. understanding language, recognizing pictures,  making decisions. (कृत्रिम बुद्धिमत्ता= कंप्यूटर या मशीनों को मनुष्यों की तरह सोचने और कार्य करने में सक्षम बनाना. जैसे भाषा समझना, चित्रों को पहचानना, निर्णय लेना।)

| Decade | Financial Innovation | Decade | Financial Innovation |
|---|---|---|---|
| **1960s** | ATMs Introduced | **2010s** | Rise of mobile banking |
| **1970s** | Card-based payments | **2022** | ChatGPT launched |
| **2000s** | Rise of Internet banking | | |

### 14.16.1 🤖😍 AI-applications in Banking- 📘ES25:

- Blockchain for database management. (डेटा संग्रहित करने के लिए ब्लॉकचेन का उपयोग)
- Credit underwriting (=processing loan/bonds application) (लोन/ऋण अर्जियों का निपटान)
- Risk assessment / creditworthiness of the borrower. loan pricing / interest calculators.
- Regulatory capital planning & monitoring e.g. BASEL norms. (विनियामक पूंजी नियमों का आयोजना)
- Liquidity management, fraud detection and prevention (तरलता प्रबंधन। धोखा धड़ी रोकथाम।)
- Chatbots with Large language models (LLMs) for customer complaint and enquiry (ग्राहकों के प्रश्न और शिकायतों का त्वरित निवारण- चैटबॉट द्वारा।)

### 14.16.2 🤖🥴 AI challenges in banking / share-market: 📘ES25:

- The **black-box** nature of AI systems. Black-box means internal workings and decision-making processes are not transparent or explainable. So, it can make difficult to assess the system's reliability. Difficult to audit the decisions. e.g. in USA, if a non-white person's loan application rejected was it due to racial profiling of the past borrowers. (एक AI निर्णय कैसे लेता है उसकी आंतरिक प्रक्रिया पारदर्शी नहीं होती। इसलिए लेखा परीक्षण मुश्किल। यदि भूतकाल में अश्वेत लोगों ने कर्ज़ वापस नहीं किया था तो उस डेटा से बोध लेके, हो सकता है, एआई भविष्य में अच्छी साख वाले अश्वेत व्यक्ति का भी लोन पास न करें।)
- Over-reliance on AI = mass layoff (व्यक्तियों को नौकरी से निकाला जाए।)
- Sharemarket market manipulation by rogue trading. **Rogue trading** means unauthorized and high-risk investments made by traders (दुष्ट/अनुशासनहीन तरीक़े से शेयर बाज़ार में व्यापार करना।)
- **Identity frauds** cloning person's voice and video. (व्यक्ति का डिजिटल क्लोन बनाके पहचान-धोखा धड़ी)
- Third-party dependencies and service provider concentration. e.g. if China forces Taiwan to stop exporting **nVIDIA AI** chips/**processors** to India, then India will have difficulty finding another seller. (चिप-प्रोसेसर में तृतीय पक्ष पर अति निर्भरता के चलते ख़तरा।)

### 14.16.3 🤖 RBI 7 Sutra for AI ethical use (2025)

- Given by RBI committee on FREE-AI - a Framework for Responsible and Ethical Enablement of Artificial Intelligence (FREE-AI)
- 7 sutras include Trust is the Foundation, People First, Innovation over Restraint, Fairness and Equity, Accountability, Understandable by Design and Safety, Resilience and Sustainability. (विश्वास ही बुनियाद है, पहले लोगो को प्राध्यान दो,नवाचार पर संय, निष्पक्षता और समानता, जवाबदेही, एआई की डिजाइन और सुरक्षा समज आए एसी होनी चाहिए, लचीलापन और स्थिरता।)

✍️ **Conclusion**: Thus, need of the hour is to harness the benefits of AI and reduce its drawbacks via strong regulation and oversight. (इस प्रकार, समय की मांग है कि एआई के लाभों का दोहन किया जाए तथा मजबूत विनियमन और निगरानी के माध्यम से इसकी कमियों को कम किया जाए।)

## 14.17 Shadow Banks – Scams and Reforms (प्रतिछाया बैंक- उनके घोटाले व सुधार)

- (Definition) Shadow banking is a set of activities and institutions. They operate partially (or fully) outside the traditional commercial banking sector. They are not fully regulated by the RBI. (ये संस्थाए पारंपरिक बैंकिंग नियमो के दायरे से बाहर काम करती है.)
- They mobilize funds by borrowing from banks, issuing Commercial Papers (CP) and Bonds (Non-convertible debentures). E.g. ILFS, DHFL- both of them suffered from scams, and faced difficulty in repaying the lenders/investors.




- Authorities have initiated following reforms to clean up the mess:

### 14.17.1 Shadow Banks → RBI's steps (रिज़र्व बैंक द्वारा उठाए गए क़दम)

- RBI has launched 1) TLTRO and 2) special liquidity window to give more funds towards NBFCs
- RBI tightened norms of Asset-Liability Management (ALM) norms for NBFCs.
- 2021: RBI **proposes 4-tier structure for tighter regulation of NBFCs**: NBFCs to be classified into four categories BASE, MIDDLE, UPPER & TOP LAYER (most risky companies). Accordingly tighter regulation on them.

### 14.17.2 Shadow Banks → Govt's steps (सरकार द्वारा उठाए गए क़दम)

- Partial Credit Guarantee Scheme (PCGS) 2.0 to cover upto 20% losses suffered by the public sector banks in loans given to NBFCs.
- Under Companies Act: Ministry of Corporate Affairs (MCA:) replaced the IL&FS's Board members. Uday Kotak made new Chairman. (कारपोरेट मामलों के मंत्रालय ने बोर्ड ऑफ डायरेक्टर में अपने विशेषज्ञों को आसीन किया)
- MCA constituted the statutory body National Financial Reporting Authority (NFRA) under Companies Act 2013 for stricter vigilance over Chartered accountants and auditors. (More in 1C: SEBI Handout) (कंपनी कानून के अंतर्गत राष्ट्रीय वित्तीय रिपोर्टिंग प्राधिकरण नामक एक वैधानिक संस्था की स्थापना)
- Corporate Affairs Ministry's Serious Fraud Investigation Office (SFIO) investigating the IL&FS officials & auditors. (गंभीर धोखाधड़ी जांच कार्यालय- इसके अफसरों और लेखा परीक्षकों की जांच कर रहा है)
- 2019: Govt increased ↑ RBI powers (under RBI Act) to regulate NBFCs in following ways: RBI can remove NBFC's board of directors, can inspect any NBFC or its associated group of companies, RBI can force merger/splitting of non-viable NBFCs, higher fines/penalties for violation. (रिजर्व बैंक की निगरानी शक्तियों में बढ़ोतरी की गई)

- Budget-2019: we will setup a Credit Guarantee Enhancement Corporation to help NBFCs. (CGEC: क्रेडिट गारंटी वर्धन निगम). (How it'll work? Ans. We'll study when it is actually started).
- Made certain changes in the Companies act regarding the debenture (bond) issued by Companies/NBFCs.

### 14.17.3 😈(🚫🏦) 💊📦📦 Shadow Banking → Remedies by SEBI

⇒ SEBI tightened norms on Mutual Funds, regarding where/how they invest clients' money. (सेबी ने भी नियमों को सख्त किया है)

### 14.17.4 😈(🚫🏦) 💊📦📦 Shadow Banking → suggestions by Eco.Survey

- create a "Health Score for NBFCs" to monitors given NBFC company's Asset Liability Management (ALM) problems, balance sheet strength, etc. and gives them a score between -100 to +100. (स्वास्थ्य सूचकांक बनाया जाए).
- Higher scores indicating higher financial stability of the firm. This health score can provide early warning signals to the Financial regulators → they can initiate appropriate measures before it's too late. (सूचकांक के आंकड़ों में गिरावट एक प्रकार से पूर्व चेतावनी देगी → उसे देखकर वित्तीय नियंत्रक तुरंत आवश्यक/जरूरी/योग्य कदम उठा सके)

### 14.17.5 👋🔪Conclusion: Shadow Banks

- Shadow banks have been prime culprits behind US Subprime Crisis (2007). If they are not kept under check, then they could cause similar havoc in Indian economy as well. This will not only erode the savings of the small investors but also harm our economic growth. So need of the hour is to ensure robust oversight, control and regulation over such entities. (अमेरिका में सबप्राइम घोटाले के पीछे भी इसी किस्म की प्रतिछाया बेंको का हाथ था. यदि इन्हें काबू में नहीं रखा गया तो भारत में भी बड़ी धांधली या हो सकती है- जिसमें आम निवेशक की बचत तो बर्बाद होगी ही, और आर्थिक वृद्धि में भी भारी गिरावट आएगी. इसलिए इन पर ज्यादा प्रभावी ढंग से निगरानी, अंकुश व नियंत्रण बहुत ही जरूरी है.)

## 14.18✍️🦾 Mock Question for Mains

1. After 50 years of nationalization, the Public Sector Banks are lagging behind private sector banks in majority of the performance indicators. Suggest remedies in this regard. (राष्ट्रीयकरण के 50 वर्षों के बाद, सार्वजनिक क्षेत्र के बैंक प्रदर्शन संकेतकों के निजी क्षेत्र के बैंकों से पीछे हैं। इस संबंध में उपाय सुझाएं.)
2. Explain the significance of reforms in Public Sector Banks (PSBs) for India's economic growth. (भारत के आर्थिक वृद्धि के संबंध में सार्वजनिक क्षेत्र के बैंकों में सुधारों के महत्व को समझाइए.)
3. Suggest the ways in which information-technology can be utilized for combating the NPA in Indian economy. (अनर्जक परिसम्पतियों से निपटने के लिए सुचना प्रौद्योगिकी कैसे मदद कर सकती है?)
4. What is "Twin Balancesheet Syndrome"? Enumerate steps taken by RBI to resolve it. ("दोहरे तुलनपत्र की समस्या" क्या है? इसके हल के लिए भारतीय रिज़र्व बैंक द्वारा उठाए कदमों की सूचि दीजिए.)
5. "While Insolvency & Bankruptcy Code doesn't fully cure the Twin Balance sheet Syndrome, it certainly helps alleviating the pain." Elaborate. ("हालांकि शोधन-अक्षमता एवं दिवालियापन संहिता भारत के दोहरे तुलनपत्र की समस्या को पूरी तरह से ठीक नहीं करता है, लेकिन यह निश्चित रूप से दर्द को कम करने में मदद करता है." विस्तृत कीजिए.)

6. With respect to India's financial stability, explain significance of (i) PCA framework (ii) BASEL-III Norms (iii) National Financial Information Registry (NFIR). भारत की वित्तीय स्थिरता के संबंध में इन्हे समझाइए: (i) पीसीए ढांचा (ii) बेसल-III मानदंड (iii) ऋण की सार्वजनिक रजिस्ट्री [Hint: given in Prelims-Handout]
7. Why are shadow banks considered to be a threat to the Indian economy? Discuss the reforms undertaken by the authorities to address this challenge. (प्रतिछाया बैंकों को भारतीय अर्थव्यवस्था के लिए खतरा क्यों माना जाता है? इस अनुसंधान मे लिए गए सुधारों पर चर्चा करें।)
8. Justify the rationale behind Govt's decision to setup a Bad Bank, despite the existence of IBC Code and SARFAESI Act. How will this proposed bad bank alleviate the pain of NPA? (आईबीसी कोड और सरफेसी अधिनियम के अस्तित्व के बावजूद, एक बैड बैंक स्थापित करने के सरकार के निर्णय के पीछे के तर्क का औचित्य साबित करें। यह प्रस्तावित बैड बैंक कैसे एनपीए का दर्द कम करेगा ?) [Hint: given in Prelims-Handout]
9. (GSM2) What are Self Regulatory Bodies/Organisations (SRO). Justify the rationale for setting them up? (स्व-नियामक निकाय/संगठन (एसआरओ) क्या हैं? इन्हें स्थापित करने के औचित्य को स्पष्ट कीजिए?) [Hint: given in Prelims-Handout- Pill1B: SRO for FinTech]
10. What are the applications and risks of artificial intelligence in financial intermediation? (वित्तीय मध्यस्थता में कृत्रिम बुद्धिमत्ता के अनुप्रयोग और जोखिम क्या हैं?)

***Next Handout**: Pillar1CD: Share market, Insurance-Pension, Financial inclusion.*